
Contractor's Financial Claim — Following Termination

Kestrel Flyover Interchange Project — Package KFI-2

Document Reference:	CFC-KFI2-001
Date:	23-Jul-2021
Contract No.:	KMDA/KFI2/CW/2019-04
From:	Project Manager, Rennick Builders Ltd.
To:	Engineer, Ashgrove Infrastructure Consultants
CC:	Kaldera Metropolitan Development Authority

Subject: Financial Claim Following Termination — Sub-Clauses 15.3 and 15.4

Further to Termination Certificate ETC-KFI2-001 and Site Handover Record SHR-KFI2-001, we submit our claim for the sums we consider properly due following termination.

1. VALUATION OF WORK AND MATERIALS: We consider the value of work properly executed and materials on Site is KLD 17,200,000, higher than the 47 per cent handover measurement would suggest at contract rates, reflecting preliminaries and mobilisation costs substantially incurred but not separately measured under the Bill of Quantities structure.

2. TERMINATION VALIDITY: While we do not, at this stage, formally dispute the Employer's entitlement to terminate, we maintain, as stated in CTR-KFI2-001, that the Ramp C utility relocation delay (utility owner resolution not complete until 15-Feb-2021, some 9 weeks later than programmed) materially affected our ability to meet the 55 per cent target in Notice to Correct NTC-KFI2-001, and should be reflected as a credit against any liquidated damages assessed.

3. DEMOBILISATION COSTS: We claim KLD 320,000 in respect of costs incurred removing Contractor's Equipment and demobilising our workforce following termination.

4. RETENTION: We request that retention held to date be released in full as part of the final account, there being no defect or outstanding obligation of a kind retention is intended to secure.

We look forward to the Engineer's valuation under Sub-Clause 15.3 and Final Payment Certificate under Sub-Clause 15.4.

Regards,
Project Manager
Rennick Builders Ltd.